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DISTANCE AND INTERNATIONALIZATION

Ghemawat (2001) — Distance Still Matters: The Hard Reality of Global Expansion (HBR)
Arregle, Chirico, Kano, Kundu, Majocchi & Schulze (2021) — Family Firm Internationalization: Past Research and an Agenda for the Future (JIBS)

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International Business Theory and Practice

01	**Ghemawat (2001)**	Why country portfolio analysis fails, and the CAGE distance framework
02	**Evidence**	Star TV's costly miscalculation & Tricon's re-ranking of Mexico
03	**Arregle et al. (2021)**	A systematic review of 220 studies on family firm internationalization
04	**Findings & Agenda**	Seven IB themes, four levels of analysis, and open research questions
05	**Synthesis**	How both articles connect — and what they mean for IB research

Article 1

Distance Still Matters

Pankaj Ghemawat · Harvard Business Review, 2001

The Problem

Companies rely on **Country Portfolio Analysis (CPA)** — plotting markets by income and consumption potential.
CPA captures sales potential but **ignores the costs and risks of distance**, so firms routinely overestimate how attractive a foreign market really is.

The Fix

Distance is not just geographic — it is **four-dimensional** (the CAGE framework), and it must be added to any market-attractiveness analysis.
One data point: countries 5,000 miles apart trade at only **20%** of the volume predicted for countries 1,000 miles apart.

The CAGE Distance Framework

Four dimensions of distance between any two co

Cultural

Language, religion, social norms, ethnicity

INDUSTRIES AFFECTED

Media, food, consumer goods

Administrative

Colonial ties, trade blocs, hostility, policy

INDUSTRIES AFFECTED

Staples, national champions, security

Geographic

Physical remoteness, size, infrastructure

INDUSTRIES AFFECTED

Bulky, fragile, or perishable goods

Economic

Income and cost differences

INDUSTRIES AFFECTED

Labor-intensive & scale-driven goods

Ghemawat (2001) · CAGE = Cultural, Administrative, Geographic, Economic

Distance in Practice

Star TV (Asia, 1991-99)

News Corp. paid **$825M** for a pan-Asian satellite network built on English-language content.

Ignored:

cultural distance (viewers wanted local content) and **administrative distance** (China banned foreign satellite TV).

Result:

~$500M in losses (FY1996-99); no profit until 2002.

Tricon Restaurants & Mexico

By raw CPA (fast-food consumption), Mexico ranked **16th of 20** markets — a candidate for divestment.

Adjusted for geographic proximity to Dallas, a shared border, and a trade agreement, Mexico jumped to **2nd place**.

Outcome: Mexico became **one of Tricon's top 2-3 global priorities**.

Family Firm Internationalization

Arregle, Chirico, Kano, Kundu, Majocchi & Schulze · Journal of International Business Studies, 2021

A systematic review (PRISMA-P) of **220 studies** (1991-2020) on how family ownership and management shape internationalization.

220	65%	7	<20%
articles reviewed	published in last 7 years	core IB themes	used IB theory directly

Core puzzle: Do family firms internationalize more, less, or just differently than non-family firms? Three decades of research offer **no consistent answer** — the authors argue the search for one general relationship may itself be the wrong question.

Seven IB Themes — and Why Findings Diverge

39% — **Scale**
Contradictory: unique resources help, but risk/control concerns constrain

8% — **Scope**
Most consistent finding: narrower scope than non-family firms

18% — **Entry mode**
No default choice — depends on risk, control needs, asset type

3% — **Location choice**
Mixed: some favor culturally close markets, others accept distant, risky ones

16% — **Process**
Usually stepwise, but 'born-again global' patterns also occur

4% — **Pace & rhythm**
Family ownership can speed pace while making rhythm less regular

12% — **Performance**
Split between positive and negative financial effects

% = share of the 220 reviewed studies addressing that theme

A Multilevel Research Agenda



Individual

12%

of studies include this level

Risk attitude, international experience, mental models



Family

22%

of studies include this level

Generation, succession, family structure, harmony



Firm

97%

of studies include this level

Ownership %, family CEO, board composition



Macro

20%

of studies include this level

Institutions, culture, home/host distance

Arregle et al. (2021) · Firm level dominates (97%); individual, family & cross-level ties are the biggest gaps

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Ghemawat shows **distance** is a hard, measurable cost of crossing borders — one every firm must price into its strategy, regardless of who owns it.

Arregle et al. show that **who owns and runs the firm** changes how that same distance is perceived and acted on — family firms sometimes seek it out, sometimes avoid it, for non-economic reasons like socioemotional wealth.

PART TWO · PICKING UP WHERE DANIELA ENDED

Distance can be priced. Can it be measured?

DANIELA JUST SAID

“Who owns and runs the firm changes how that same distance is perceived and acted on.”

SO MY QUESTION

When the field tried to measure any of this — did it measure what it thought it was measuring?

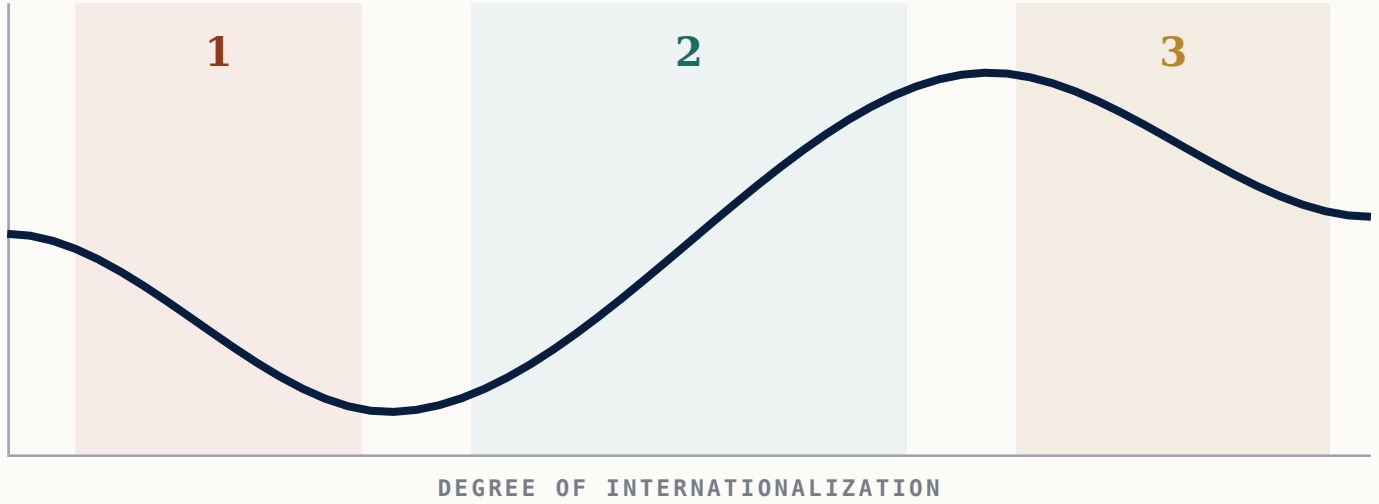
CONTRACTOR, KUNDU & HSU
2003
the shape of the relationship

MEZIAS
2002
the cost of being foreign

THEN THE CONCLUSION — ALL FOUR PAPERS, ONE DIAGNOSIS

CONTRACTOR, KUNDU & HSU (2003) · JIBS 34(1): 5–18 · AFTER FIGURE 1

Four findings. One curve.



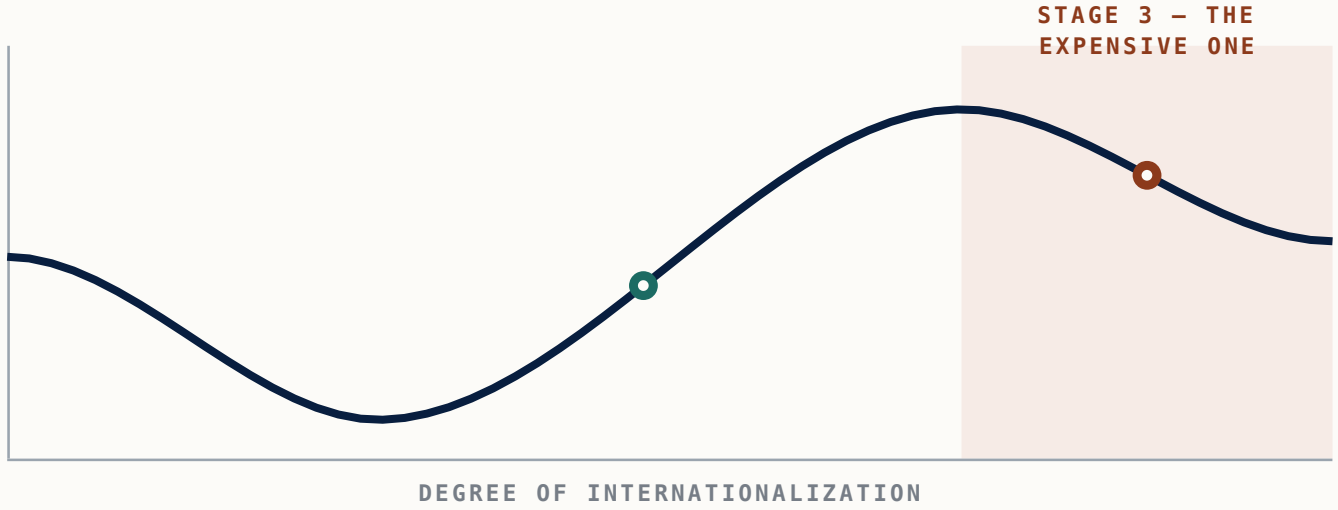
SAMPLE ONLY…

- **segment 1**
  you publish a NEGATIVE linear result
- **segment 2**
  you publish a POSITIVE linear result
- **segments 1+2**
  you publish a U
- **segments 2+3**
  you publish an INVERTED U

Thirty years of contradiction, and none of it was about firms. The literature was sampling different segments of one sigmoid and reporting each as a finding about the whole.

CONTRACTOR, KUNDU & HSU (2003) — THE FINDING THAT REACHES PRACTICE

Some firms walk into stage three more easily.



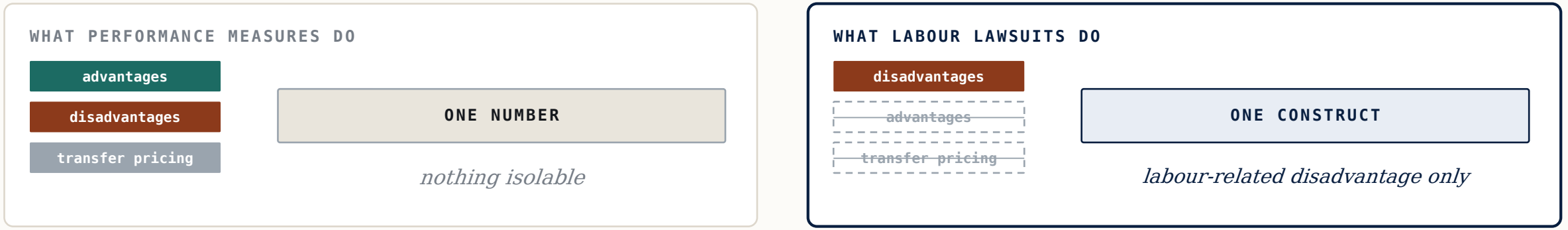
- **KNOWLEDGE-BASED SERVICES**
  Advertising · market research · securities · publishing. “More driven by intangible assets” with “a much lower fixed capital cost burden” — one more market is cheap to say yes to.
- **CAPITAL-INTENSIVE**
  Airlines · hotels · construction · retail. Fixed assets make every additional market an expensive commitment, so they stop sooner.

“Few companies possess the managerial tools (such as regression plotting of firms in a sector) that would tell them when they have over-internationalized.”

→ “SHOULD WE INTERNATIONALISE?” IS THE WRONG QUESTION. “WHERE ARE WE ON THE CURVE?” IS THE RIGHT ONE.

MEZIAS (2002) · SMJ 23(3): 229–244 · THE CRAFT LESSON

He did not fix the measure. He replaced it.



"While most performance measures aggregate advantages and disadvantages, labor lawsuits only measure labor-related disadvantage."

486	486	$600k+
foreign subsidiaries	matched US firms	average jury award

MATCHED ON INDUSTRY AND CITY — SO THE ONLY REMAINING DIFFERENCE IS FOREIGNNESS

CONCLUSION — ALL FOUR

Daniela already named it. It is true of all four.

HER SLIDE 7

"Contradictions trace to unmeasured heterogeneity, not weak theory."

	WHAT WAS MEASURED		BELIEVED TO BE
CONTRACTOR	segments of one curve	→	*the shape of the relationship*
MEZIAS	aggregate performance	→	*the cost of foreignness*
GHEMAWAT	market size	→	*opportunity*
ARREGLE	220 studies	→	*a settled question*

Not one of them was fixed by more data. Every one made progress by changing WHAT was measured — which is why this is a methods problem, not a theory problem.

ONE LAST THING

Eighteen years. Same question.

SUMIT K. KUNDU · FIU

2003
Contractor, Kundu & Hsu

2021
Arregle, … Kundu, …

JIBS 34(1) — *author on both* — JIBS 52

The same question about multinationality and performance, asked of a different population eighteen years later — and Daniela's numbers show it is still the theme the field has looked at least.

3 SEP ENTRY MODE
If stage one is negative, mode choice is a decision about how much of that cost to absorb at once.

24 SEP INSTITUTIONS
CAGE is a pre-Hofstede way of saying what that session says with formal distance measures.

APPENDIX A · BACKUP — ONLY IF ASKED

The same error, in my own study.

Tversky & Kahneman (1974) — a wheel of fortune gave subjects 10 or 65 before they estimated the share of African countries in the UN. Median answers: 25 and 45.

WHAT MY MODEL MEASURES

Eight organisational interventions — training, rotation, analytical tools, structured processes, feedback, independent review, regulatory guidance, incentives — against anchoring bias, with expertise and confidence as moderators.

WHAT IT ACTUALLY MEASURES

Anchoring bias is captured by self-report, reverse-coded. It asks auditors to report how far their judgment was driven by a reference point — the one thing the bias reliably prevents them from noticing.

Perceived judgment discipline, described as anchoring reduction.

Contractor measured segments of a curve. Mezias's field measured aggregate performance. I measured self-reported bias resistance. Three instances of the same error, and one of them is mine.

→ TVERSKY & KAHNEMAN ALREADY WARNED ME: “PAYOFFS FOR ACCURACY DID NOT REDUCE THE ANCHORING EFFECT.”

APPENDIX B · EVERY QUOTE AND FIGURE, WITH ITS PAGE

Verification record.

SLIDE	CLAIM	SOURCE	CHECKED
11	Sigmoid, three stages; four findings are segments of one curve	Contractor p.7, Fig. 1	EXACT
11	“Depending on which part of Figure 1 we examined…”	Contractor p.7	EXACT
12	Knowledge-based vs capital-intensive; lower fixed capital burden	Contractor p.9	EXACT
12	“Few companies possess the managerial tools…”	Contractor p.11	EXACT
13	486 foreign subsidiaries vs 486 US, same industries and cities	Mezias p.229–231	EXACT
13	“labor lawsuits only measure labor-related disadvantage”	Mezias p.231	EXACT
13	78.9% / 70.0% / 58.4%; award > $600,000; fees ~$100,000	Mezias p.232	EXACT
14	“varied and at times incompatible findings”	Arregle, abstract	EXACT
15	Performance is 12% of the 220 studies	Arregle p.6	EXACT
15	Kundu authored both the 2003 and 2021 papers	Both title pages	EXACT
A1	Wheel of fortune: 10 → 25, 65 → 45; payoffs did not reduce it	Tversky & Kahneman p.1128	EXACT

All verified against the source PDFs, 26 August 2026. Nothing is paraphrased and presented as a quote.

APPENDIX C

References.

DANIELA — Ghemawat, P. (2001). Distance still matters: The hard reality of global expansion. Harvard Business Review, 79(8), 137–147.

DANIELA — Arregle, J.-L., Chirico, F., Kano, L., Kundu, S. K., Majocchi, A., & Schulze, W. S. (2021). Family firm internationalization: Past research and an agenda for the future. Journal of International Business Studies, 52, 1159–1198.

YASIR — Contractor, F. J., Kundu, S. K., & Hsu, C.-C. (2003). A three-stage theory of international expansion: The link between multinationality and performance in the service sector. Journal of International Business Studies, 34(1), 5–18.

YASIR — Mezias, J. M. (2002). Identifying liabilities of foreignness and strategies to minimize their effects: The case of labor lawsuit judgments in the United States. Strategic Management Journal, 23(3), 229–244.

APPENDIX A — Tversky, A., & Kahneman, D. (1974). Judgment under uncertainty: Heuristics and biases. Science, 185(4157), 1124–1131.

Presented by Daniela Garcia Aguirre and Yasir A. Malik · GEB 7365 International Business Theory and Practice · Prof. William Newburry · FIU Chapman Graduate School of Business, DBA Cohort 8.14 · 27 August 2026